TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

# Revenue, costs and profit



5 Financial information and financial decisions
**4.4 Costs; 5.3 Profit and loss (0450: 5.3 Income statements)**

A revision lesson. Pupils run a car dealership in firms of four and revise revenue, costs and profit on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Total monthly costs

Round 1

A month at the yard.

**Total costs for the month?**

| | |
|---|---|
| Fixed costs, a month | **£8,000** |
| You pay per car | **£17,500** |
| Cars sold | **4 cars** |

**ANSWER**

**£78,000**

£8,000 + 4 × £17,500 = £78,000

**Why:** Fixed costs stay the same. Variable costs grow with every car.

## 2 Fixed or variable

Round 1

You list your dealership's costs for a month.

**Which two are fixed costs?**

- **A** Valeting each car sold
- **B** Rent on the showroom
- **C** Cars bought to sell
- **D** Commission on each sale
- **E** The manager's salary

**ANSWER**

**✓ Rent on the showroom**
**✓ The manager's salary**

**Why:** Rent and salaries stay the same however many cars you sell.

## 3 Rank by profit

Round 2

Three months: cars sold, the price, and total costs.

**Order by profit, highest first?**

- **A** 6 at £15,000, costs £75,000
- **B** 20 at £5,000, costs £90,000
- **C** 10 at £9,000, costs £70,000

**ANSWER**

**1. 10 at £9,000, costs £70,000**
**2. 6 at £15,000, costs £75,000**
**3. 20 at £5,000, costs £90,000**

**Why:** Profit: £20,000, £15,000, £10,000. The most revenue made the least profit.

# Topic tasks

## 4 Average unit cost

Round 2

Cost of each car sold.

**Average cost per car?**

| | |
|---|---|
| Fixed costs, a month | **£2,500** |
| Variable cost per car | **£9,500** |
| Cars sold | **5 cars** |

**ANSWER**

**£10,000**

£2,500 ÷ 5 + £9,500 = £10,000

**Why:** Each car carries £500 of the fixed costs.

## 5 More sales or cuts

Round 3

Each car adds £400 (price minus cost); you sell 15 a month. Sell 5 more, or cut fixed costs £1,500?

**Which raises profit more, and why?**

**A** Cut fixed costs by £1,500

**B** Sell 5 more cars

**ANSWER**

✔ **Sell 5 more cars**

**Why:** 5 × £400 = £2,000, more than the £1,500 saved.

## 6 Profit after rise

Round 3

Costs are going up.

**Profit after the rise? Minus allowed.**

| | |
|---|---|
| Sales | **£100,000** |
| Variable costs | **£45,000** |
| Fixed costs | **£15,000** |
| Variable costs rise by | **10%** |

**ANSWER**

**£35,500**

£100,000 − £45,000 − 10% (£4,500) − £15,000 = £35,500

**Why:** The rise adds £4,500 to variable costs.

# Final questions

Each pupil answers 6 final questions on revenue, costs and profit. They come from these 11 questions.

Then each pupil writes one short answer: “Explain the difference between fixed and variable costs.”

1. A dealership earns revenue of £86,000 and has total costs of £68,500 in a trading period. What is its profit?
   ✔ **£17,500**

2. A vehicle retailer has sales revenue of £150,000 and cost of sales of £90,000. What is its gross profit?
   ✔ **£60,000**

3. A showroom has fixed costs of £11,500 and variable costs of £37,500 for a month. What are total costs?
   ✔ **£49,000**

4. A showroom expects £72,000 sales revenue and wants to make £23,000 profit in a month. What is the highest total cost consistent with that target?
   ✔ **£49,000**

5. A used-car retailer earns £95,000 sales revenue and £33,000 gross profit. What was its cost of sales?
   ✔ **£62,000**

6. A dealer initially expects £70,000 revenue and £66,000 total costs. It then refunds £5,000 of sales while costs stay unchanged. What is the revised result?
   ✔ **A £1,000 loss**

7. A dealership’s statement of financial position lists an unpaid bank loan. How should the loan be classified?
   ✔ **As a liability**

8. A campaign leads to the sale of six vehicles at £14,500 each. What is sales revenue?
   ✔ **£87,000**

9. Revenue is £84,000 and cost of sales £54,000. A supplier discount cuts cost of sales by 10%; revenue is unchanged. What is the new gross profit?
   ✔ **£35,400**

10. Operations has a total cost budget of £56,000, including £9,500 of fixed handling costs. How much can be spent on variable purchasing costs?
    ✔ **£46,500**

# Final questions

**11** Revenue = selling price × quantity sold. A dealer sells 14 vans at £21,000 each. Using the formula, what is its van revenue?

✔ **£294,000**